Week 4 Lecture Notes: The Great Divergence and Colonialism

To understand the shift in power dynamics towards the North Atlantic, it is important to understand how and to what extent Europe and North America's past led to their political and economic ascendancy in the 19th and 20th centuries.

Economic power increases political power → same with wars, usually the size of an economy often determines war outcomes. Growth as we know it, since the dawn of industrialisation, disregards resource depletion; it is a single-directional model.

You put two key ingredients into growth: labour and resources

More labour in an economy dependent on labour-intensive production leads to extensive growth. While technological changes can provide growth while maintaining the same labour and resource input, we call this intensive growth.

The economic industrialisation model of growth originated in England, evolved within Europe, and was eventually adopted by the United States.

Early economies in England functioned on a Malthusian dynamic → there are tensions between population and resources. For the towns and cities, commerce played an additional role → Smithian growth

- A mixture of both facilitated the growth of urban centres in the Holy Roman Empire and in most of the Eurasian + African World.

The rapid transition in the 19th century redefined the scale of wealth and accumulation. Understanding this phenomenon is crucial for assessing state transitions and their political-economic power. → explains global inequality, impacts on institutional and cultural differences, and helps guide future economic development

- It also helps challenge Eurocentric narratives

Greater wealth provides for better well-being, but to what expense?

- "You can be democratic at home and ruthlessly imperial abroad"
- Jeffrey Sach, Athens Democracy Forum 2022
- On the same day that France passed its labour rights law, it also took significant colonial actions in Tunisia and Libya. Specifically, on May 1, 1881, the French government passed the *Code du Travail* (Labour Code), which established fundamental labour rights in France. However, on the very same day, French forces invaded Tunisia, initiating what became known as the French Protectorate of Tunisia.
- This invasion marked the beginning of formal French control over Tunisia, which had previously been under nominal Ottoman rule. The occupation was justified under the pretext of securing the region against threats. However, it was primarily a move to expand French colonial influence in North Africa. This action

highlighted the contradiction in France's policies, as it was advancing labour rights at home while simultaneously expanding its colonial empire and subjugating foreign populations.

What is the Great Divergence?

Economic and Technological diversion from other civilisations

The Great Divergence refers to the economic and technological gap that emerged between Western Europe and other major civilisations, particularly China, by the mid-19th century. This divergence became starkly apparent during events like the **Opium Wars (1839-1842)** and the subsequent "unequal treaties" that humiliated China. It is, however, not limited to cross-continental differences. There are also divergences within Europe, such as Northern Europe versus Southern Europe, Atlantic States versus Austro-Hungarian territories/Eastern Europe.

Global North / Global South

Traditional Western Explanations

Early Western thinkers attributed European success to inherent cultural and institutional superiority:

- **Adam Smith** (1776) portrayed China as impoverished, describing extreme poverty and claiming Chinese workers lived in desperate conditions
- **Montesquieu** characterised China as "a despotic state, whose principle is fear"
- **Malthus** blamed uncontrolled reproduction
- **Marx** theorised an "Asiatic mode of production" where hot climates required irrigation, leading to large bureaucratic states that stifled initiative.
- **Weber** emphasised capitalism, the Protestant work ethic, and European legal/political frameworks.

Malthus

Higher income = Higher competition

The California School Challenge

Kenneth Pomeranz and the "California School" of historians fundamentally challenged these traditional narratives:

Key Arguments:

- **Living standards in 1800** were comparable between China's most advanced regions (Yangtze River delta) and prosperous Northwest Europe
- **Europe's advantage was primarily geographical luck**: access to coal and colonial resources that relaxed ecological constraints.
- **Chinese technology** was sophisticated but focused on resource efficiency rather than labour-saving (unlike European innovations)

- **Cultural claims were based on ignorance**: China had active intellectual communities, flourishing novel literature, and well-functioning markets.

The Long 18th century: a period of significant social, political, cultural, and economic change that extends beyond the traditional 18th century timeline.

Napoleonic Wars end this with the Congress of Vienna.

During this period there are many revolutions:
- American Revolution
- French Revolution
- Agricultural Revolution

- **Political Transformation** → Glorious Revolution in 1688 (England expanded its government power), permeation of enlightenment ideas, American Revolution, French Revolution, and the Napoleonic Wars
- **Economic and Industrial Changes** → Agricultural revolution (brought in American crops like potatoes), refining agricultural techniques to be less labour-intensive and increase food production
- **Colonial Expansion and Global Influence** → Britain, France, Spain and Portugal expanded their colonial empires during this period; previously, it was just outposts). **The Atlantic Slave Trade** created a system of extraction from the Latin Americas and Africa.

The long 18th century ended with the Congress of Vienna, when the balance of power was reestablished in Europe after the Napoleonic Wars.

The Great Divergence is an ongoing discussion on why and when Western Europe and North America began to diverge and overtook the traditional Eurasian economies. What happened? This leads to many debates over how to measure and define this relative divergence in political and economic power. One key game changer in global history is colonialism.

Effect of Colonialism

Understanding colonialism allows us to understand the following:

- **Institutional Legacy and Economic Development**: Colonial institutions often imposed structures that benefited the colonisers at the expense of local populations. These institutions created persistent inequality and hindered long-term economic development in many regions. For example, the imposition of extractive institutions in colonies with high European mortality rates led to poorer economic outcomes, which have persisted to this day.
- **Influence on Political Stability and Governance**: The nature of colonial rule, whether direct or indirect, has had lasting effects on the political stability and governance structures of former colonies. British colonies, for instance, often benefited from relatively more stable institutions due to the practice of indirect rule, which supported local governance structures. This contrasts with other colonial powers, whose legacies have often been associated with weaker institutions and greater instability.

- **Impact on Social Structures and Inequality**: Colonial institutions frequently entrenched social inequalities by favouring particular groups over others, often leading to long-lasting social divisions. These inequalities have had significant implications for social cohesion and development outcomes in post-colonial societies
- **Colonial Institutions and Legal Systems**: The imposition of colonial legal systems often clashed with pre-existing local laws, creating legal pluralism that persists today. This has affected crime rates and the effectiveness of state legal systems in many post-colonial societies.

Colonial regimes still affect global inequality → Europe conquered 84% of the world between 149 and 1914

The Americas → MASSIVE GAME

- Northwestern European economies found UNLIMITED resources and established a supply chain that generated massive wealth in Europe.
    - Rise of European Estates (think those pretty houses you see in Bridgerton).
    - That money also funded educational institutions and created schools that were designed to cater to the global colonial administration. (The English took the Chinese bureaucracy and expanded it with English regulations)
    - Advancements in financial markets (trade and manufacturing became a huge venture)
    - Different types of colonies created different subsequent 'extended branch of the North Atlantic states' → Australia, the US, and South Africa
    - The discovery of silver and gold deposits in the Americas led to inflation in Asia.

Geography versus Institutions

Engerman and Sokoloff (Geography)	Acemoglu, Johnson, and Robinson (Institutions)
The **geographic conditions** of different colonies played a crucial role in shaping their economic and political development.	The key to understanding colonial and post-colonial development lies in **the institutions** that colonisers established.
- **Factor Endowments**: They focus on factor endowments like climate, soil, and resources, which shaped the types of economic activities in colonies. For example, tropical regions that were suitable for large-scale plantation agriculture (such as	- **Colonial Institutions:** Acemoglu et al. argue that the primary difference between prosperous and less successful colonies is the type of institutions imposed by European powers. In regions where colonisers faced high settler mortality (due to disease,

sugar and cotton) led to the establishment of exploitative institutions, including slavery and highly unequal land distributions. - **Inequality:** These regions with plantation economies created highly unequal societies, where elites controlled large amounts of land and labour. This inequality, they argue, led to the establishment of extractive institutions, which persisted even after colonialism ended, hampering long-term economic development. - **Contrast with Small-Scale Agriculture:** In contrast, colonies with more temperate climates (such as North America), where small-scale farming was feasible, developed more inclusive institutions. These regions had more equitable distributions of land and labour, fostering democratic governance and better long-term economic outcomes.	climate, etc.), they established extractive institutions designed to exploit local resources without long-term settlement (e.g., parts of Africa, Latin America). Limited property rights, authoritarian rule, and exploitation characterised these extractive institutions. - **Settler Colonies:** In regions where Europeans could settle in large numbers (e.g., North America, Australia), they created inclusive institutions that protected property rights, encouraged investment, and supported long-term economic growth. These institutions allowed for inclusive economic policies that benefited a broader population. - **Institutional Persistence**: Acemoglu emphasises that these colonial institutions tended to persist long after independence, shaping the long-term development paths of these nations. Inclusive institutions allowed for economic growth and democratic governance, while extractive institutions entrenched inequality and hindered development.

Engerman and Sokoloff argue that geography played a key role in the development of colonial institutions. In contrast, AJR contends that the nature of these institutions was more crucial to the location's development, with geography playing a secondary role. BOTH acknowledges that inequality.

The US began to overtake Europe after its independence, but the turning point was during the late 19th century.

- The US had unlimited natural resources → large economy of scale, extensive growth powered by technological development, greater scaled productivity.
    - War in Europe and empire fragmentation led to a slowdown → WWI and WWII period), Europe became dependent on the US

Many economies relied on replicating the English experience → state led economic development model, but EVEN in Europe many regions were left behind due to further distance from the Atlantic Ocean, ie. East Germany, Balkans, Italy, etc.

Effects of colonisation on Europe:

Contribution	**Colonial Role**	**Effect on Europe**
Raw Materials	Exploited colonial crops/minerals	Industrial growth, factory input
Market Access	Forced colonies to buy manufactures	Sustained industrial exports
Capital Growth	Profits from trade, slavery, and land	Urban wealth accumulation
Urbanisation	Driven by industrial jobs/wealth	Expansion of towns/cities